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Term Paper

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Abstract

This seminar paper analyzes the structural problems of modern Key Account Management (KAM) in multinational matrix organizations. Using the case study of Siemens AG and its key client Kratos Energy it shows the typical conflicts Corporate Account Managers (CAMs) face today. The core problem is a massive deadlock: The customer demands a price concession that destroys the local division's financial targets but promises a huge joint venture for the future. Because the CAM has no formal power over the local business units this creates a big internal conflict.

The paper uses theoretical frameworks of leadership and value-based selling to find a way out. It shows that the CAM must use "True Value Selling" internally to convince colleagues of the long-term benefits instead of just looking at short-term losses. But communication alone is not enough. To really fix these matrix conflicts companies have to change their strict local Key Performance Indicators (KPIs) into shared targets to reward cross-divisional teamwork. Finally building strong informal relationships (Dual-Leader Exchange) between managers is necessary to reduce the role conflict for the local sales force.

List of Abbreviations

CAM	Corporate Account Manager
KAM	Key Account Manager
MDB	Market Development Board
MNC	Multinational Corporation
VP	Vice President
ATA	Account Target Agreement
DLX	Dual-Leader Exchange
EVA	Economic Value Added
KPIs	Key Performance Indicators
LMX	Leader-Member Exchange
ROI	Return on Investment
TVS	True Value Selling

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To ensure readability, the generic masculine is used throughout this text. These terms are intended to be gender neutral and inclusive of all identities

1. Introduction

In the fast and changing world of international business multinational companies (MNCs) face a lot of structural problems today. They have to balance global integration with local needs which makes strategic decisions hard. Because things get more complex and change so fast the old ways of centralized planning just do not work anymore. That is why companies urgently need new ways to make decisions together. These have to integrate diverse field-specific expertise (Andersen, 2023, p. 228). This whole situation means companies have to rethink how they handle their best customers. In this context the role of Key Account Management (KAM) has changed a lot. It is not enough to see KAM just as sales anymore. He really needs a holistic management approach. The changes are affecting sales and Key Account Management since the early 2020s as a paradigm shift (Büchel, 2023, p. 230). He argues that the focus must now be on establishing contemporary structures and procedures to meet these new demands (Büchel, 2023, p. 230).

This paper looks at these management problems using the case study of Siemens AG. The analysis focuses on Peter Balton a Corporate Account Manager (CAM) responsible for the key client Kratos Energy. The situation shows how tough modern KAM roles are today because managers have to act as organizers across boundaries. Steenburgh et al. highlights that because CAMs possess a holistic view, they must be trained across various dimensions, including cultural diversity and global team management (Steenburgh et al., 2012, p. 5).

But this big responsibility often crashes into the reality of a matrix organization. Balton has a big problem: Kratos Energy demands a concession to reduce operation and maintenance costs, which would create savings Kratos. Giving them this is strategically important for the relationship but it threatens the financial goals of the other local business units. Balton knows there will be internal resistance knowing that each business division at Siemens was responsible for its own profit and loss statement (Steenburgh et al., 2012, p. 1).

The situation is made worse by the money pressure on the local division. The timing of the customer's demand is critical, as at the next shareholder meeting, they have to announce a drop in the order intakes (Steenburgh et al., 2012, p. 13). So Balton is stuck in a difficult situation where he must align conflicting interests without formal power. He acknowledges that his role requires resourcefulness, particularly because he lacks formal authority in the given situation (Steenburgh et al., 2012, p. 1).

This paper wants to analyze how: *Key Account Managers can resolve such structural conflicts by applying theoretical frameworks of leadership and value-based selling.*

2. Case Presentation: Siemens AG and Kratos Energy

2.1 Organizational Context and Matrix Structure

The organizational setting for this analysis is the German Siemens AG. It is a global company that went through heavy restructuring to fit changing market dynamics. Under the former CEO Peter Löscher the company reorganized its operations into four main sectors to address global trends such as "an increased attention on renewable energy sources" (Steenburgh et al., 2012, p. 2). To manage key relationships across these different sectors Siemens used a complex matrix structure. To help the coordination between the horizontal Key Account Management and the vertical business units the company established "Market Development Boards" (MDBs) (Steenburgh et al., 2012, p. 20). These boards help to align the goals by using combined target agreements (Steenburgh et al., 2012, p. 5).

But even with these mechanisms the structural friction was still easy to feel. Corporate Account Managers (CAMs) were often described metaphorically as being like a "pig in the middle," trapped between the external demands of the customer and the internal constraints of their own organization (Steenburgh et al., 2012, p. 5). While the CAMs had the job to sell projects both internally and externally the ultimate power stayed decentralized. The local business units kept the profit and loss (P&L) responsibility focusing on their specific products instead of the customer relationship (Steenburgh et al., 2012, p. 1).

2.2 The Customer Relationship: Kratos Energy

The conflict is about Kratos Energy. This client really shows the high stakes of modern key account management. Even though the relationship was described as "relatively recent," dating back only to 2000 Kratos had quickly become one of Siemens' most critical parthership. With an average annual order intake of "€500 million," Kratos ranked among the top 10 energy accounts for Siemens (Steenburgh et al., 2012, p. 12). The partnership combined various products, with Siemens providing a mix of traditional fossil power solutions and new green technology. This double portfolio mirrored the global energy transition but then also prepared the basis for conflict between legacy business and future strategy.

However the stability of this relationship got threatened by a really hard negotiation deadlock. Kratos Energy used its power to demand a huge change in existing contracts. A Kratos manager informed Peter Balton of a plan to "reduce operation and maintenance costs by 10%," a move calculated to save the customer approximately "€1 billion" by 2014 (Steenburgh et al., 2012, p. 1). For Siemens this demand was not just a pricing issue but a strategic negotiation threat to the local division responsible for these contracts.

2.3 The Economic Dilemma

The conflict got very clear during a meeting where Kratos Energy presented a massive opportunity. The client proposed a joint venture in the solar sector that could be "worth €200 billion" (Steenburgh et al., 2012, p. 1). For Peter Balton this was a great strategic milestone. But Kratos linked this future potential to an immediate concession demanding the 10% price reduction on existing fossil service contracts.

For the Fossil Power division which held the P&L responsibility for these contracts this demand was terrible. The head of the division calculated that such a cut would result in a "loss of €300 million in revenue" (Steenburgh et al., 2012, p. 1). More critically this reduction would basically "wipe out the division's profit margin for that year" (Steenburgh et al., 2012, p. 1). The situation was made worse by the division's weak market position. They were already facing a "drop in the order intakes of about 9% for the next quarter" (Steenburgh et al., 2012, p. 13). Because of this the local management completely refused to pay for a corporate strategy that would ruin their own financial targets leaving Balton stuck between global promise and local survival.

2.4 Structural Misalignment

The original cause of this deadlock is the basic mismatch between the Key Account Manager and the traditional Sales Force. This difference is clearly illustrated in the company's internal comparison of roles (Steenburgh et al., 2012, p. 24 Exhibit 7). The structural disconnection shows mostly in different time horizons and focus. The CAM is driven by a "3-year agenda" focused on "sustainable development of business" (Steenburgh et al., 2012, p. 24). On the other hand the local sales force operates on a "fiscal-year agenda," driven by immediate "sales results" and transaction delivery (Steenburgh et al., 2012, p. 24). Also while the CAM focuses on increasing the "share of wallet" and relational growth the sales force is much more focused on quick sales prioritizing "efficient pipeline management" (Steenburgh et al., 2012, p. 24).

This difference explains why Peter Balton felt so powerless. As the case notes, some business units were "too focused on their own businesses" because their performance was measured individually and leading to a failure to see the "global picture" (Steenburgh et al., 2012, p. 6). Because of this the local salespeople often perceived the CAM not as a partner, but as a "threat" to their own autonomy (Steenburgh et al., 2012, p. 6). Balton was expected to fix this complex conflict despite having "no direct authority in the situation" (Steenburgh et al., 2012, p. 1).

3. Theoretical Analysis

3.1 The Paradigm Shift in Key Account Management

To really understand the friction, the Corporate Account Manager and the local divisions at Siemens have to look at how the KAM role itself has evolved. In the past sales organizations kept a strict line between getting new customers and managing the existing ones. But modern literature shows that this strict split does not work anymore. Büchel notes customer farming basically means permanent hunting within the exact same account so the classic difference between hunting and farming in sales is pretty much outdated (Büchel, 2023, p. 203).

Peter Balton is a perfect example of this shift. He is not just "farming" the existing Kratos relationship, but he is actively "hunting" for the €200 billion solar joint venture inside the already established account network. This new way of KAM needs a lot of dynamic coordinations which often clashes directly with the more static setups of normal business units.

3.2 Strategic Tensions in Multinational Corporations

This change in sales strategy is part of a bigger organizational problem that is very typical for multinational corporations (MNCs). The whole conflict over Kratos Energy is basically a real-world example of the theoretical tension between global integration and local responsiveness. The global integration orientation is a centralized setup where big resource decisions across borders are coordinated through centralized planning to pursue an overall corporate strategy (Andersen, 2023, p. 217).

This is exactly what Balton's role is meant to do. On the other hand the fossil power division operates much closer to a multinational strategy, which is applied when there are high local market needs and where operations must remaina close market distance to abide by local requirements and generate profitability (Andersen, 2023, p. 220). Because complexity and fast changes push these tensions the old approaches to centralized planning are just not enough anymore, necessitating decision-making processes that integrate diverse field insights (Andersen, 2023, p. 223).

But just bringing different views together does not automatically mean everyone is aligned. As seen in the literature different departments naturally have their agendas, and their varying perspectives frequently generate internal tensions (Biemans et al., 2022, p. 1).

3.3 Matrix Organization and Role Conflict

In a matrix organization these strategic tensions easily turn into real structural problems mostly through the use of dual leadership. The way matrix organizations work forces dual leaders to simultaneously influence how followers participate in decisions, prioritize time, and spend crucial resources (Sahlmueller et al., 2022, p. 272). Sahlmueller et al. show this with an example of a geographical matrix where a regional boss wants to integrate several business units, while a business unit leader focuses on ensuring that prices and processes remain aligned within their specific unit (Sahlmueller et al., 2022, p. 272).

At Siemens this creates a massive structural conflict. It is actually not so much Balton who suffers from confusing reporting lines but rather the local sales force and the division managers who are caught in the middle. They have to navigate the conflicting demands of the CAM's global integration strategy against the financial targets of their direct boss.

The Theory actually warns about exactly this scenario. Internally misaligned and conflicting role expectations may leave followers feeling ambiguous and reluctant to perform (Sahlmueller et al., 2022, p. 273). So in the end the matrix structure which was, built to capture both global and local advantages just ends up paralyzing the whole organization when formal authority is missing and incentives are totally unaligned.

4. Recommendations

4.1 Overcoming the Deadlock through Internal "True Value Selling"

Because he has no formal authority Peter Balton cannot force the fossil power division to take the €300 million loss. Instead he has to strategically change the story away from the quick price concession and "sell" the €200 billion solar opportunity to his own colleagues. To do this Balton should use the concept of "True Value Selling" (TVS) which is defined as a "Mutual Benefit Creation System" (Kaschek, 2014, p. 97). Instead of just arguing about price points TVS shows the real financial value creation architecture of a key account. By using this framework internally Balton can frame the whole debate around long-term metrics like the Return on Investment (ROI) and Economic Value Added (EVA) (Kaschek, 2014, p. 149). TVS gives a good base for logical communication that actually helps both the customer and the internal supplier divisions. Also using TVS really improves the supplier's price enforcement competence allowing Balton to logically justify the short-term margin sacrifice for the fossil division in exchange for a "Mutual Benefit Alliance" in the solar sector (Kaschek, 2014, p. 97). But to pull this off the CAM needs to build strong internal alliances. As literature emphasizes, the product management must essentially become the KAM's "friend" (Capone, 2023, p. 77). Balton must include the changing demands into the internal portfolio to get appreciation and internal loyalty.

4.2 Realigning Incentive Structures and KPIs

While internal communication and "True Value Selling" are super important first steps the structural root of the conflict has to be fixed at the organizational level too. The main problem at Siemens is a bad setup of financial incentives. The matrix structure gives global relationship management to the CAM but the business units still keep strict profit and loss (P&L) responsibility for their own specific products. This structural flaw traps CAMs like a "pig in the middle," forcing them to sell their projects not only externally to the client, but internally to their own organization (Steenburgh et al., 2012, p. 5). The fossil

power division saying no to a discount is not an act of malice but a completely normal reaction to a system that punishes local units for supporting the bigger corporate strategies. To fix this structurally Siemens has to completely change the governance mechanisms especially the "Account Target Agreement" (Steenburgh et al., 2012, p. 5). Right now the ATA works as a strict operational tool meant to secure the units commitment during a formal 2 process for the upcoming fiscal year. But this process is way too static for fast valuable opportunities like a sudden €200 billion solar joint venture. When global integration needs short term local sacrifices the ATA just fails because the local Key Performance Indicators (KPIs) endanger the global strategy. Management literature strongly criticizes the reliance on isolated, volume driven metrics. Issuing purely quantitative goals is a flawed approach, as quantity has absolutely no influence on quality (Capone, 2023, p. 7).

Instead of judging the fossil division only on its quarterly margins and punishing them for a 9% drop in order intakes, the ATA must establish "Shared KPIs" (Steenburgh et al., 2012, p. 13). The CAM and the local units have to share responsibility and financial goalds for managing and getting customers with high potential. In real life this means using a cross-divisional compensation model. If the fossil division gives up €300 million in service revenue to win a €200 billion solar contract for another division their local P&L must get credited internally for making this strategic win happen. Furthermore, literature emphasizes that while sales favor a highly integrated approach, the execution should still reflect a "One-Face-to-the-customer" strategy (Capone, 2023, p. 7). The CAM has to stay the main orchestrator and the single face to Kratos Energy. However, this is only sustainable if the internal matrix is financially synchronized (Capone, 2023, p. 7). By aligning the KPIs the fossil division would change from a blocking local unit into a motivated partner in the global strategic plan.

4.3 Strengthening Governance and Dual-Leader Exchange

Besides financials and internal value selling the personal dynamics in the matrix also need to be actively managed to break the dilemma. The whole standstill at Siemens is made worse because matrixed leaders such as Peter Balton and the local division head operate on the same hierarchical level. Because of this there is no direct power relation between the two leaders through which to solve conflicts hierarchically (Sahlmueller et al., 2022, p. 271). To handle this they have to rely a lot on their informal relationship a concept defined in academic literature as "Dual-Leader Exchange" (DLX) (Sahlmueller et al., 2022, p. 271). DLX shows the quality of the exchange relationship between the two leaders, alligning their perceived reciprocity, willingness to help each other, and ability to share ideas and information.

Right now the sales force at Siemens suffers from dissimilar relationships (LMX) with their two managers. To free the sales force from this bad role conflict Balton and the division head must actively build a high DLX. Research demonstrates that a high DLX acts as a vital buffer, it can indeed compensate for LMX dissimilarity and directly lower the followers' experienced role conflict (Sahlmueller et al., 2022, p. 281). So corporate governance bodies at Siemens like the Market Development Boards (MDBs) have to do more than just negotiate targets. They have to actively help these internal relationships and act as a platform for DLX building. In the end to make the matrix work, Siemens must focus not only on designing the right structure, but also on supporting the right relationships (Sahlmueller et al., 2022, p. 281).

5. Conclusion

The Siemens AG case with Kratos Energy really shows the complexity of modern Key Account Management in multinational matrix organizations. Balton's situation shows that conflicts in international sales are often not just about the price. Instead they are the result of structural problems

like different time horizons and targets and the fact that the Corporate Account Manager has no formal power over the divisions.

This paper answered the initial research question by showing how Key Account Managers can fix such structural conflicts by applying theoretical frameworks of leadership and value based selling. To get out of these difficult situations a combination of different solutions is needed. Since Balton cannot force really the fossil power division to give a discount he has to use True Value Selling internally. He has to show his colleagues the long term value of the €200 billion solar venture instead of just looking at the €300 million short term loss. But communication is not enough. Siemens also needs to change the KPIs in the Account Target Agreements so that cross divisional teamwork gets rewarded. Also building a strong Dual Leader Exchange (DLX) between the managers is necessary to lower the role conflict for the divisional sales force.

While these concepts offer a good solution for the Siemens case they also show a gap in the current literature. External value selling is well researched but there are almost no empirical studies about how internal value selling actually works in large companies. Furthermore future research should look into how the annual target agreements can be made more flexible. Companies need to find ways to react to big opportunities globally without punishing their local business units.

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